CLOSING STATEMENT

Sterling Student Living | Omaha, NE

Property	Sterling Student Living
Settlement Date	March 14, 2020
Buyer	Beacon Hollow Investors
Seller	Pemberton Real Estate Fund III
Sale Price	$30,380,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$30,380,000			
Earnest money deposit		$154,670	$154,670	
Real estate tax proration	$6,283			$6,283
Rent proration			$121,229	
Security deposits assumed	$58,933	$58,933		
Prepaid rents			$267,463	$267,463
Owner's title policy premium	$192,270			
Lender's title policy premium		$95,158	$95,158	
Escrow fee	$199,421			$199,421
Recording fees			$158,386	
Transfer tax	$80,707	$80,707		
Survey			$258,187	$258,187
Legal fees - Buyer	$260,375			
Legal fees - Seller		$9,684	$9,684	
Broker commission	$99,917			$99,917
Loan origination fee			$51,597	
Lender legal	$262,368	$262,368		
Appraisal fee			$259,429	$259,429
Environmental report	$186,469			
Property condition report		$248,055	$248,055	
Tax escrow deposit	$281,219			$281,219
Insurance escrow deposit			$104,042	
Replacement reserve deposit	$20,653	$20,653		
Utility deposits			$276,567	$276,567
Assumed vendor contracts credit	$86,228			

Report generated 03/14/2020. Figures are unaudited and subject to change.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$30,380,000			
Legal fees - Seller		$291,098	$291,098	
Broker commission	$218,280			$218,280
Loan origination fee			$228,148	
Lender legal	$170,507	$170,507		
Appraisal fee			$65,249	$65,249
Environmental report	$22,519			
Property condition report		$34,560	$34,560	
Tax escrow deposit	$89,433			$89,433
Insurance escrow deposit			$37,351	
Replacement reserve deposit	$129,361	$129,361		
Utility deposits			$24,894	$24,894
Assumed vendor contracts credit	$93,210			
Tenant improvement credit		$37,024	$37,024	
Courier / wire fees	$168,279			$168,279
Municipal certificates			$215,228	
Purchase price	$164,550	$164,550		
Earnest money deposit			$292,051	$292,051
Real estate tax proration	$46,126			
Rent proration		$216,830	$216,830	
Security deposits assumed	$204,108			$204,108
Prepaid rents			$100,968	
Owner's title policy premium	$26,875	$26,875		
Lender's title policy premium			$27,577	$27,577
Escrow fee	$12,581			
Recording fees		$82,685	$82,685	
Transfer tax	$229,273			$229,273
Survey			$281,541	

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Income and Expense Review

The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.55% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $333,000 or approximately 8.00 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period. Effective gross income for the trailing period was $434,000, representing a 8.5% increase over the prior year.

The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The going-in capitalization rate of 5.22% reflects the in-place income and the stabilized occupancy assumption. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.53x on a trailing basis against a covenant minimum of 1.20x.

Income and Expense Review

Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Operating expenses totaled $136,000 or approximately 47.87 per square foot, with real estate taxes representing the largest line item. Pre-leasing for the coming academic year stands at 88.5% with rental rates per bed averaging $1,062. Debt service coverage ratio was 6.14x on a trailing basis against a covenant minimum of 1.20x.

The property is located 6 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Effective gross income for the trailing period was $330,000, representing a 8.8% increase over the prior year. Debt service coverage ratio was 7.61x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $400,000 or approximately 46.09 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.04% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 96.0% with rental rates per bed averaging $1,062.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Pre-leasing for the coming academic year stands at 92.3% with rental rates per bed averaging $1,062. Debt service coverage ratio was 7.62x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.43% reflects the in-place income and the stabilized occupancy assumption. The property is located 7 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

The going-in capitalization rate of 7.18% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 88.1% with rental rates per bed averaging $1,062. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $183,000, representing a 3.0% increase over the prior year. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$30,380,000			
Tenant improvement credit		$207,954	$207,954	
Courier / wire fees	$243,510			$243,510
Municipal certificates			$125,082	
Purchase price	$115,442	$115,442		
Earnest money deposit			$17,132	$17,132
Real estate tax proration	$138,374			
Rent proration		$204,600	$204,600	
Security deposits assumed	$71,783			$71,783
Prepaid rents			$134,914	
Owner's title policy premium	$121,018	$121,018		
Lender's title policy premium			$128,478	$128,478
Escrow fee	$115,717			
Recording fees		$117,319	$117,319	
Transfer tax	$193,234			$193,234
Survey			$58,918	
Legal fees - Buyer	$303,600	$303,600		
Legal fees - Seller			$63,087	$63,087
Broker commission	$207,138			
Loan origination fee		$174,749	$174,749	
Lender legal	$236,661			$236,661
Appraisal fee			$35,724	
Environmental report	$202,354	$202,354		
Property condition report			$265,386	$265,386
Tax escrow deposit	$18,809			
Insurance escrow deposit		$287,893	$287,893	
Replacement reserve deposit	$281,903			$281,903
Utility deposits			$100,698	

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Valuation Discussion

Management fees are calculated at 5.1% of collected revenue and are included in operating expenses. Operating expenses totaled $391,000 or approximately 39.53 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $443,000, representing a 7.5% increase over the prior year. The property is located 6 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Effective gross income for the trailing period was $17,000, representing a 2.5% increase over the prior year. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Operating expenses totaled $170,000 or approximately 13.39 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.35x on a trailing basis against a covenant minimum of 1.20x.

Income and Expense Review

Debt service coverage ratio was 6.47x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Pre-leasing for the coming academic year stands at 89.5% with rental rates per bed averaging $1,062. Operating expenses totaled $240,000 or approximately 37.32 per square foot, with real estate taxes representing the largest line item.

The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Management fees are calculated at 5.1% of collected revenue and are included in operating expenses. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period.

Financial Analysis

The going-in capitalization rate of 7.94% reflects the in-place income and the stabilized occupancy assumption. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Operating expenses totaled $468,000 or approximately 11.70 per square foot, with real estate taxes representing the largest line item. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The going-in capitalization rate of 7.22% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $390,000, representing a 11.5% increase over the prior year. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

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Sterling Student Living Owner LLC

By: Tyrone Dixon Title: President Date: 03/14/2020

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Julia Schmidt

By: Jerome Lopez Title: Authorized Signatory Date: 03/14/2020

Exhibit A - Property

Sterling Student Living, 305 Airport Parkway, Omaha, NE 36356. Parcel containing approximately 16.66 acres, together with all improvements thereon.

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